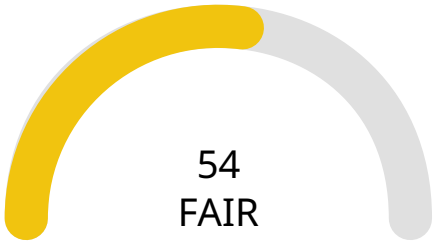
CDNL

Cardinal Infrastructure Group Inc. (NASDAQ)
As-of: 17-Oct-2026 | Latest Filing: Q2 2026 (10-Q) | Currency: USD

$15.79 [Mkt 17-Oct-26]

Market Cap: $313M [Mkt 17-Oct-26]

Attractiveness Score



Confidence: **Medium** (0 pillars excluded)

Pillar Breakdown

1. Operating Quality — 40

Small-cap civil/infrastructure contractor with thin moat (competitive bidding), 21% gross and 8.8% operating margins, and leveraged balance sheet (D/E 0.85). Cyclical, weather-exposed, no pricing power.

2. Recent Trend — 50

Revenue exploding via acquisition (+114% YoY in Q2) but quality deteriorating: adj EBITDA margin collapsed 18.6% to 12.4%, net income fell 35%, and the stock is down 84% from its high. Growth without profit.

3. Forward Growth — 55

Guided revenue of $880-900M with ALGC, plus SE infrastructure tailwinds and a self-performing model. But the margin guide was cut, integration is unproven, and civil construction is cyclical.

4. Valuation — 72

DCF base $31.96 vs spot $15.79 implies 103% upside. Forward P/E 4.5x and NTM EV/EBITDA 3.5x are distressed multiples. Reverse DCF prices -14.3% revenue CAGR, below the 8% bear case: the market prices contraction.

5. Catalysts & Risk — 45

Q3 margin recovery is the make-or-break catalyst. Risks dominate: leverage at D/E 0.85 on a small base, ALGC integration, cyclical SE construction exposure, thin analyst coverage. Negatively skewed until margins stabilize.

Investment Thesis

- **Southeast Infrastructure Roll-Up:** Full-service civil and site development provider using a self-performing model in high-growth SE markets. Q2 revenue of $226.9M was up 114% YoY, driven by scale and the ALGC acquisition [8-K].
- **Margins Are the Whole Story:** Adj EBITDA margin fell to 12.4% from 18.6% [8-K]. Management lifted the FY2026 revenue guide to $880-900M while cutting the margin guide. The market prices -14.3% implied revenue CAGR, below the 8% bear case [DCF model].
- **103% Upside If Execution Holds:** At $15.79 [Mkt 17-Oct-26], DCF base $31.96 implies 103% upside and forward P/E is 4.5x. Distressed pricing for a growing business, but leverage (D/E 0.85) is the sword of Damocles until margins recover.

Key Operating Metrics

METRIC	LATEST	YOY CHANGE	3Y TREND
Revenue (Q2 '26)	$226.9M [8-K]	+114% [8-K]	Up
Adj EBITDA Margin (Q2 '26)	12.4% [8-K]	-620 bps (18.6% PY) [8-K]	Down
Net Income (Q2 '26)	$4.7M [8-K]	-35% [8-K]	Down
FY2026 Revenue Guide (lifted)	$880-900M [8-K guid]	Raised from $665-678M [8-K guid]	Up
FY2026 EBITDA Margin Guide (cut)	Below prior 20%+ [8-K guid]	Margin guide cut on raise [8-K guid]	Down
Market Cap	$313M [Mkt 17-Oct-26]	-84% from 52w high $96.40 [Mkt 17-Oct-26]	Down
Forward P/E	4.5x [Mkt 17-Oct-26]	vs trailing 17.2x [Mkt 17-Oct-26]	Down

Historical Financial Trend

METRIC	2024	2025	TTM	Q2 '26	FY2026E
Revenue	n/a [n/a]	$0.46B [10-K FY25]	$0.67B [Cons]	$0.23B [10-Q Q2 '26]	$880-900M [8-K guid]
Gross Margin	n/a [n/a]	21.1% [10-K FY25]	n/a [n/a]	n/a [n/a]	n/a [n/a]
Op Margin	n/a [n/a]	8.8% [10-K FY25]	7.0% [Cons]	n/a [n/a]	n/a [n/a]

Valuation

Absolute (8/10)

Fwd P/E 4.5x [Mkt 17-Oct-26] DCF Base $31.96 [DCF model] NTM EV/EBITDA 3.5x [Mkt 17-Oct-26]

103% upside to the base case. But the reverse DCF implies -14.3% revenue CAGR: the market is pricing contraction, so the discount may be earned, not gifted.

Versus Peers (6/8)

Heavy civil/infrastructure peers trade mid-single-digit EV/EBITDA [Peers 17-Oct-26]

CDNL screens at or below peer multiples despite a faster revenue trajectory. Peers are larger, less leveraged and more diversified, which justifies some discount.

Versus History (4/7)

Stock $15.79 vs 52w high $96.40 [Mkt 17-Oct-26]

Down roughly 84% from the high as margin compression and acquisition digestion reset expectations. Limited public history makes historical comparison thin.

Catalyst Timeline

Nov 2026 [8-K]
Q3 2026 Earnings (Two-Sided): Adj EBITDA margin was 12.4% in Q2 vs 18.6% a year ago. Recovery toward the 20% target is the entire bull case test.

2026 [8-K]
ALGC Integration (Two-Sided): Acquisition closed Feb 18, 2026 and drives the $880-900M revenue guide. Execution and margin accretion are unproven.

Top Risk Factors (Item 1A)

1. Margin Collapse: Adjusted EBITDA margin fell to 12.4% in Q2 from 18.6% a year ago, and management cut the full-year margin guide even while lifting revenue. Acquisition mix is diluting profitability. [8-K]

2. Leverage on a Small Base: $120M of debt against $140M of equity (D/E 0.85) with thin cash flow conversion. Small caps with leverage have limited room for error if margins stay depressed. [10-K FY25]

3. Cyclical + Integration Risk: Civil and site development is cyclical, weather-exposed, and

> **2026-2027** [Cons]
> Southeast Infrastructure Cycle (Positive): Civil and site development demand across high-growth SE markets supports backlog, but is cyclical and weather-exposed.

What Would Change Our Score

Q3 margin trajectory is the swing factor: sustained adjusted EBITDA recovery toward 20% would validate the bull case and the $31.96 base. Further erosion, or debt stress, would confirm the market's -14.3% implied contraction.

concentrated in the Southeast. The ALGC acquisition adds integration risk on top of cycle risk. [10-K FY25]

Forward Growth Drivers

- FY2026 revenue guide lifted to $880-900M, including the ALGC acquisition contribution [8-K guid]
- Self-performing civil and site development model across high-growth Southeast markets [8-K]
- Management targeting 20%+ adjusted EBITDA margin for FY2026, implying recovery from Q2's 12.4% [8-K guid]

Missing / Modified Data Log

- ROIC not explicitly disclosed; leverage assessed via D/E 0.85 and cash flow trajectory.
- Only one full fiscal year of public financials; FY2024 revenue not disclosed, TTM revenue estimated from quarters.
- Peer multiple comparison based on broad heavy-civil peer group, tagged [Cons].

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